SCORPIUS SPACE LAUNCH COMPANY — THE STANDALONE PLAN AND THE CASH IT NEEDS

Briefing for the SSLC Board of Directors · Special Meeting, Tuesday, October 6, 2026 · 2:00 PM Pacific

Prepared by Exos Aerospace Systems & Technologies, Inc. for the SSLC directors and SSLC counsel. Confidential. Companion to the October 6 Board Decision Package. Figures are from SSLC's own QuickBooks (pulled October 2, 2026), SSLC's FY26 management report (August 21, 2026) and SSLC's Annual_Projection_summaries workbook. John Quinn abstains from every vote (Cal. Corp. Code §310: https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=CORP&sectionNum=310).

1. Bottom line

Everyone at Friday's meeting agreed Scorpius has real value: firm Intuitive Machines demand, better pricing, steadier payment terms. The problem is not the technology or the team. It is cash. On SSLC's own numbers, the standalone plan cannot be carried out with the money SSLC has, and no source for the difference has been identified.

- **Cash runs out around mid-December 2026.** Liquid resources of $475,226 cover about 2.5 months at the Q1 cost rate of ~$186,500 a month.
- **$297,000 to $721,000 more is needed just to finish work SSLC has already billed or been paid for** ($984,062 of prepaid work: $864,062 billed ahead of performance plus $120,000 of deposits).
- **Up to ~$1.5M more is needed by June 2027** if revenue runs at 75% of projection and costs track FY26.
- **The growth plan is unfunded on top of that:** the five people hired in the last 100 days, at least two more, a formal quality function, offline winding stands, a 5-axis winder and the automation steps in the September 30 IM briefing.
- **$1,027,783 of loans and notes are outstanding** (not the $710K cited from March 31), and SSLC's equity is −$1,403,075. No lender we know of will fund the gap on that balance sheet.

The question for the board is not whether Scorpius is valuable. It is: where does the cash come from, how much, and by when? Section 6 lists what a credible answer must cover.

2. What the board told us on October 2, and what each point costs in cash

Said on October 2	By	Cash consequence
"$7.4M was optimistic … really, really close to $5 million for next year" is firm	Markus	Revenue plan down ~32%, while the cost base is being built for growth. The 75% case below already assumes ~$524K/month of revenue, more than twice Q1's ~$238K/month.
Hired 5 people in the last 100 days; 2 more needed; no formal quality management function yet	Markus / John	Fixed payroll rises before the new tank revenue arrives. None of it is in the cash on hand.
Two more containers, tank carts, motorized offline stands so the winder only winds; batch-building PMDs and inventory	Markus	Capital spending and inventory build ahead of revenue — "these are also financial commitments".
Government now buys in batches: tank sets for 2030 missions may have to start in early 2028	Markus	More work-in-process carried for longer. Working capital need grows with the backlog.

One delivered tank was destroyed when the customer's transport frame failed; a replacement is needed	Markus	Unplanned production slot inside an already-full schedule.
IM pays on a fixed calendar schedule; net-15 restored	Markus	Helps timing, but $864,062 has already been billed ahead of the work. That cash has come in; the cost of the work has not yet been spent.
No federal budget; Space Force / Golden Dome cannot start new work	Bob	No new non-IM orders near term. IM concentration (73% of FY26 revenue) stays high exactly when cash is tightest.
Margins are up — about 35%	Bob / John	Good, and Q1 shows it. But Q1 costs still ran 78.5% of revenue and September recorded a gross loss of $32,542 with no revenue booked.
Lease more equipment against firm orders	Bob	A lessor underwrites the lessee. With equity of −$1.40M and an FY26 operating loss of $415,963, expect personal guarantees or large deposits.
Debt was $710K at March 31	Jim	Loans and notes are $1,027,783 at October 2; total liabilities $1,275,622.

3. The cash math, on SSLC's own numbers

3a. Can SSLC finish the work it has already been paid for?

Item	Amount
Cash (10/2)	$198,419
Plus billed receivables, if all collected	+$343,306
Less payables and accrued wages due now	−$66,499
Liquid resources	$475,226
Cost to deliver $984,062 of prepaid work at the FY27 Q1 cost ratio (78.5%)	$772,291
Cost to deliver it at the FY26 cost ratio (121.6%)	$1,196,718
Additional cash needed just to finish paid-for work	**≈ $297,000 to $721,000**

3b. Can SSLC operate through June 2027 at 75% of projection?

	At FY27 Q1 cost ratio	At FY26 cost ratio
Revenue at 75% of the $6,285K projected for Oct–Jun	$4,713,750	$4,713,750
Less revenue on work already paid for (no new cash)	−$984,062	−$984,062
New cash revenue	$3,729,688	$3,729,688
Operating costs	−$3,699,350	−$5,732,390
Plus liquid resources today	+$475,226	+$475,226
Ending cash, June 2027 (before debt service and capital spending)	**≈ $505,600**	**≈ −$1,527,500**

SSLC has historically delivered 50–72% of projection (FY26 ≈ 50%; FY27 Q1 ≈ 72% of the $987K contracted for July–September). The best case above needs 75% and Q1 margins every month for nine months, and still ends with only about two to three months of costs in the bank, before debt service and before any growth spending.

3c. Total outside cash the standalone plan needs

Need	Amount	Timing
Finish prepaid work	$297K – $721K	Before mid-December 2026
Operate through June 2027 at 75% of plan	$0 – ~$1.53M	Through June 2027
Growth: hires, quality function, stands, 5-axis winder,	Not quantified by SSLC;	2026–2027

automation (IM briefing 9/30)	unfunded	
Existing loans and notes ($451K Microcosm, $321K Bookstore note, $132K EIDL, $92.5K Wertz, $31.2K Exos)	$1,027,783	Service/repay

Planning range: roughly $0.3M of new cash by December, and $1.5M or more by mid-2027 once growth spending is included, before any debt is repaid. SSLC management should put its own figure on the growth line; Exos will gladly use it.

4. Why outside money is hard to raise on these numbers

- **Negative equity:** −$1,403,075 at October 2. A lender sees a liability, not collateral. Fixed assets ($544,157 of tooling and test stands) are almost fully depreciated.
- **The FY26 operating loss was $415,963.** Net loss was only −$77,683 because of a one-time $287,247 Employee Retention Credit that will not recur.
- **Track record against projection:** 50–72%. Lenders and investors now discount projections to contracted work only. That is why the 11 investors Exos spoke with valued SSLC's standalone books as a liability.
- **Customer concentration:** IM was 73% of FY26 revenue; Exos was 23.6%. Remove Exos and SSLC's revenue base is one customer.
- **Even growing companies with clean books are being turned down.** Exos, which has doubled revenue each of the past four years, cannot get an SBA-guaranteed loan for lack of three years of consistent financials.
- **New equity at today's book value** would come at a steep discount and dilute every current holder.

5. What happens if the cash runs short before a source arrives

- **Deliveries slip on the 14 IM tanks in flow** (Operations Briefing, September 30). The 6–8 IM tanks expected within 6–8 weeks and the 4 more for next year depend on on-time delivery of these.
- **IM has alternatives.** Other suppliers are already winning lunar-lander tank work. A customer that has prepaid $864,062 of work will protect itself first.
- **Key people leave first.** The five new hires and the experienced technicians are the asset.
- **Creditors' interests move to the front.** SSLC is balance-sheet insolvent today. SSLC counsel should advise the board on directors' obligations in that position (e.g., Berg & Berg Enterprises v. Boyle, 178 Cal.App.4th 1020 (2009): https://law.justia.com/cases/california/court-of-appeal/2009/h032785.html).

6. What a credible standalone plan must answer

Exos would genuinely welcome a plan that answers these. If there is one, the license still helps SSLC (surge capacity, 15% commission, Exos as a funded customer). If there is not, the sale is the plan.

- Where does the $297K–$721K to finish the work already paid for come from, and by what date before mid-December?
- If revenue runs at 75% of projection and costs track FY26, where does up to $1.5M come from by June 2027?

- Will Intuitive Machines prepay more or fund capacity? Is that in writing, and on what terms?
- Will the Wertz/Microcosm side lend more or convert the $543,929 it is owed into equity?
- How are the hires, quality function, offline stands, 5-axis winder and automation funded, and what do they cost?
- What is the plan for the 14 IM tanks in flow if cash runs short before any of these sources arrive?
- What does each shareholder receive under the standalone plan, and when?

7. Every question raised on October 2, answered

Jim: *Is the projection going up, or is the $7.4M the number?*

Markus answered it: about $5M for 2027 is firm, the $7.4M was optimistic. Exos's view matches: about $3.0M is booked, ~$4.5M with the expected IM tanks, ~$5.1M with pipeline. The cash math above uses SSLC's own projection at 75%.

Markus: *Is the license tied to the deal? If the deal fails, does Exos still own a license?*

It is a license, not ownership; SSLC keeps the IP. It is effective on signing because the financing requires a present right. To meet the "only if SSLC fails" concern, Exos will accept a covenant not to manufacture itself except (i) U.S. Government work SSLC declines or cannot schedule, (ii) SSLC missing an Exos PO date or spec, (iii) SSLC ceasing tank operations, or (iv) SSLC-requested surge. Present grant, conditional exercise.

Jim: *How much is Exos paying for the license?*

Exos cancels its loan to SSLC with all accrued interest (about $38,158), SSLC earns 15% on surge work Exos performs for it, and Exos keeps buying from SSLC at customer price parity. See Package §6 for the Vaya comparison.

Bob: *SSLC licensed before; why not a license that only springs on bankruptcy?*

A license triggered by bankruptcy is generally unenforceable against the bankruptcy estate (11 U.S.C. §365(e)(1): https://www.law.cornell.edu/uscode/text/11/365). A license granted before any filing is protected (§365(n)). A springing license fails exactly when it is needed, so the financing cannot rely on it. The conditional-exercise covenant above gives the same practical protection to SSLC.

Jim: *Why does Exos need to build tanks instead of buying them?*

Exos will keep buying from SSLC; that is the point of the conditional-exercise covenant. The financing requires that Exos can build its vehicles if SSLC cannot deliver. Markus confirmed the capacity issue himself: three BLK3 vehicles in ~4 months would not fit SSLC's IM schedule today.

Jim: *Would IM become second fiddle?*

No. Exos adds capacity at its own site rather than using SSLC's winder. SSLC can also send IM overflow to Exos and earn 15%.

Bob: *The price is the 2021 amount even though SSLC has grown.*

The term-sheet price is non-binding. The final price will be set on current financials through the independent Eqvista fairness opinion and comes back to this board and to the shareholders. If

SSLC's growth is real, that process captures it. Exos is also open to part of the price being paid in Exos-Scorpius stock or tied to IM deliveries, so holders share in the upside they believe in.

Bob: *What actually comes out to the stockholders?*

On October 2 figures, about $1.04M distributable to the holders of the other 82% after all debts are paid at face (including Microcosm and the Wertz note), with $1.0M paid at escrow release (Package §3). Under the standalone plan, the answer today is nothing until the funding gap above is closed.

Jim: *Your investors are saying Scorpius has no value.*

They value SSLC's standalone books, which show −$1.40M equity and an operating loss. The value appears inside a funded combined company, which is why the listing is planned as Exos + Scorpius. Exos's position is the same as the board's: the technology and team are valuable. This briefing is about funding, not value.

Bob: *If Exos proceeds without SSLC, what does that do to Exos?*

Exos must qualify a different tank solution for the next BLK3 build, which takes Exos's 23.6% of SSLC revenue and its BLK3/BLK4 growth elsewhere. That outcome is worse for both companies. It is why Exos is asking for the license.

Bob: *Does Exos have the government contracts for these vehicles?*

The three BLK3 vehicles are funded from Exos's financing, not a single contract. Demand includes NASA Flight Opportunities eligibility, Exos Aerospace Japan and Exos Aerospace Italia. Exos is also performing a $1.9M Air Force contract with a $300K extension recently received.

Jim: *Can we take a week?*

John leaves for Japan on Thursday, October 8 for three weeks. If the board needs more time on the ROFR and the sale, Exos asks that it vote on the license (Resolution 1) on Tuesday so the financing can proceed, and take up the rest on the board's schedule. Exos will designate an officer to sign while John travels.

Prepared by Exos for discussion. Not legal advice; SSLC directors should rely on SSLC counsel.